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Local fees that boost California housing costs targeted by Assembly Democrats

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SACRAMENTO — Home builders have lobbied for years to cut the fees that local governments can charge them to offset the effects their projects have on roads, police and other public services, arguing that the additional costs make construction prohibitively expensive in California.

A legislative package unveiled Monday by five Assembly Democrats proposes to cap those fees and waive them altogether for some projects, in hopes of providing a jolt to the state's stagnating construction rates and easing the housing shortage.

Assemblyman Tim Grayson, D-Concord, said exorbitant fees have been passed on to consumers through home prices that are beyond reach for most and "effectively barred a generation of Californians from one of the most reliable forms of wealth generation available — that is, owning a home."

"We cannot achieve our goal of building housing for all Californians at all income levels if some local jurisdictions continue to place a disproportionate financial burden on the backs of new home buyers," Grayson said.

Impact fees are supposed to be tied to specific infrastructure and services needed to support new housing in a community. Developers, however, have accused cities of using them to cover budget shortfalls or to create a financial barrier to housing they don't want built.

A report released last year by the state Department of Housing and Community Development warned that high fees may be impeding residential development in California. The report concluded that wide variations in fees across the state and a lack of transparency about those costs have made it more difficult for developers to figure out financing.

In San Francisco, one of the most expensive places to build in the world, fees for transit, parks, schools, police and other services add up to around $50,000 per unit. Multifamily projects must set aside units for low-income tenants or pay to fund affordable housing elsewhere, adding another $50,000 to $75,000 per unit.

Grayson introduced AB3145, which would cap local fees at 12% of the median home price for a city or county and require state approval to exceed that limit. He also proposed AB1924, which would require that fees be proportionate to square footage, allowing smaller homes to be built more cheaply.

Other bills in the package would overhaul the standards that local governments use to determine their fees, reimburse cities that waive impact fees on affordable-housing projects, mandate more data reporting to the state, give the public more advance notice before fees are added or increased, and allow developers to pay certain fees under protest so they can negotiate for a lower amount.

Assemblyman David Chiu, D-San Francisco, is carrying AB3148, which would reduce the fees charged for affordable housing units by up to 75%. He said the fee proposals were part of a broader push by lawmakers to focus this year on boosting housing production.

The construction industry is building fewer than 80,000 houses and apartments annually, less than half what state experts project is needed to keep pace with population growth in the next decade. Gov. Gavin Newsom has been more ambitious, pledging during his 2018 gubernatorial campaign that the state would build 3.5 million homes by 2025, which would require the state to quintuple the rate of production.

But new housing starts actually declined slightly last year, according to industry reports. The biggest housing bill in the Legislature, San Francisco Democratic Sen. Scott Wiener's SB50, failed in the Senate last month under intense opposition from local governments.

Efforts to reduce impact fees, a critical source of revenue for cities and counties, could face similar hurdles. Grayson said he would push to tie the bills to funding in the budget that could offset those losses.

Assemblyman Jesse Gabriel, D-Encino (Los Angeles County), said there was a "tremendous degree of frustration" in the Legislature that local governments have not been more open to removing barriers to housing production.

"These bills are a real opportunity for cities to demonstrate that they want to come to the table and be part of the solution," he said.

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